

CAMS Exam Preparation
Domain B: Global AFC Frameworks,
Governance, and Regulations (20 percent of Exam)

Advanced AML Training Framework

Domain B: 20 percent of CAMS Exam — 100+ Slides — FATF, UN, FIUs, Regulators, PPPs, Sanctions

What is FATF?

The Financial Action Task Force is the global standard-setter for AML/CFT.

Key Facts:

- Established in 1989 by the G7 at the Paris Summit
- Secretariat located at the OECD in Paris, France
- 39 members (including 2 regional organizations: European Commission and Gulf Cooperation Council)
- Members represent most major financial centers worldwide
- Sets the 40 Recommendations - global AML/CFT standards
- Conducts Mutual Evaluations to assess member compliance
- Identifies high-risk jurisdictions (Grey List and Black List)

FATF's Core Functions:

- 1 Set international AML/CFT standards (40 Recommendations)
- 2 Assess member countries' compliance (Mutual Evaluations)
- 3 Identify jurisdictions with strategic deficiencies (Grey/Black Lists)
- 4 Issue guidance on emerging risks (virtual assets, DeFi, NPOs)
- 5 Promote global implementation of standards

[!] FATF Recommendations are NOT legally binding treaties, but countries must implement them to avoid economic consequences (blacklisting). [FOCUS] Exam tests knowledge of FATF's role, Mutual Evaluation process, and the Grey/Black Lists.

Seven Categories of the 40 Recommendations

The 40 Recommendations are organized into seven thematic categories.

Category	Recommendations
AML/CFT Policies and Coordination	Rec. 1-2 (Risk assessment, national cooperation)
Money Laundering and Confiscation	Rec. 3-4 (ML offense, confiscation)
Terrorist Financing and Proliferation	Rec. 5-8 (TF offense, sanctions, NPOs, PF)
Preventive Measures	Rec. 9-23 (CDD, recordkeeping, PEPs, DNFBPs, wire transfer)
Transparency of Legal Persons/Arrangements	Rec. 24-25 (UBO for companies and trusts)
Powers of Competent Authorities	Rec. 26-35 (supervision, FIUs, LE powers, statistics)
International Cooperation	Rec. 36-40 (MLATs, extradition, information sharing)

[!] Technical Compliance assesses whether laws exist on paper. Effectiveness assesses whether laws achieve intended outcomes.

How FATF Assesses Countries

Countries undergo peer review evaluations every 5-8 years.

Two Pillars of Assessment:

- Technical Compliance: Do laws exist on paper? Rated Compliant (C), Largely Compliant (LC), Partially Compliant (PC), or Non-Compliant (NC) for each of the 40 Recommendations.
- Effectiveness: Do laws achieve intended outcomes? Rated High, Substantial, Moderate, or Low across 11 Immediate Outcomes (IO.1 - IO.11).

The 11 Immediate Outcomes (IOs):

- 1 IO.1: ML/TF risks understood and coordinated domestically
- 2 IO.2: International cooperation used
- 3 IO.3: Supervision of FIs and DNFBPs
- 4 IO.4: Preventive measures applied
- 5 IO.5: Legal persons prevented from misuse
- 6 IO.6: Financial intelligence used by authorities
- 7 IO.7: ML investigated and prosecuted
- 8 IO.8: Proceeds of crime confiscated
- 9 IO.9: TF investigated and prosecuted
- 10 IO.10: TF asset freezing and confiscation
- 11 IO.11: Counter-proliferation financing measures

[!] A country can have perfect Technical Compliance (laws on paper) but Low Effectiveness (no prosecutions).

[SCENARIO] Perfect Laws, Zero Convictions Country Meridian has enacted a comprehensive AML/CFT legal framework that maps directly to all 40 FATF Recommendations. The country has a functioning FIU that receives over 30,000 STRs annually. However, the FIU's financial intelligence has never been disseminated to law enforcement; the country has zero money laundering convictions in five years; and no assets have ever been confiscated. The country argues that because the laws exist on paper, it should receive a high rating.

What the Exam Tests: The distinction between Technical Compliance and Effectiveness.

How to Analyze:

- 1 Technical Compliance assesses whether laws exist (laws are present - likely Compliant)
- 2 Effectiveness assesses whether laws achieve outcomes (no prosecutions, no confiscation - Low)
- 3 High Technical Compliance does NOT compensate for Low Effectiveness
- 4 Country will receive Low ratings on IO.6, IO.7, and IO.8

[TRAP] Common Distractor: "A country cannot receive a low effectiveness rating if it has perfect technical compliance." **[CORRECT] Correct Answer: The country will receive Compliant on Technical Compliance but Low on Effectiveness. Technical compliance and effectiveness are separate ratings.**

Grey List (Increased Monitoring)

Jurisdictions with strategic AML/CFT deficiencies that have committed to an action plan.

Grey List Characteristics:

- Public statement identifying jurisdictions under increased monitoring
- Jurisdiction has committed to resolve deficiencies within agreed timeframe
- FATF encourages members to apply Enhanced Due Diligence (EDD)
- NOT automatic termination of relationships
- Example jurisdictions: Turkey, Jamaica, Albania, Bulgaria (2024-2025)

Black List (Call for Action)

High-risk jurisdictions subject to a call for action.

Black List Characteristics:

- Jurisdictions with serious strategic deficiencies
- FATF calls on members to apply countermeasures
- Countermeasures may include: terminating correspondent relationships, restricting transactions, enhanced reporting
- More severe consequences than Grey List
- Current Black List: Iran, North Korea, Myanmar (2024-2025)

[!] Key exam point: Grey List requires EDD; Black List requires countermeasures (stronger action).

[SCENARIO] Bank Has Relationships in Grey List and Black List Jurisdictions A

multinational bank maintains correspondent accounts with banks in two jurisdictions: Country Alpha (recently placed on FATF Grey List) and Country Beta (on FATF Black List). The bank's risk committee is determining the appropriate response to each.

What the Exam Tests: The different obligations for Grey List vs. Black List jurisdictions.

How to Analyze:

- 1 For Country Alpha (Grey List): Apply EDD, but not automatically required to terminate
- 2 For Country Beta (Black List): FATF call for countermeasures means evaluate and implement appropriate countermeasures (may include termination)
- 3 Individual risk assessments required for each relationship (no blanket termination)
- 4 Grey List jurisdiction has committed to resolution - may justify continued relationships with EDD

[TRAP] Common Distractor: "Both jurisdictions require identical treatment - all accounts must be closed immediately." **[CORRECT] Correct Answer: Grey List requires EDD; Black List requires countermeasures (stronger action). Individual risk assessments are required for both.**

Rec. 1 - Core Principle

Countries and financial institutions must identify, assess, and understand ML/TF risks, then apply measures commensurate with those risks.

Key Principles:

- Simplified measures where risks are lower (Simplified Due Diligence - SDD)
- Enhanced measures where risks are higher (Enhanced Due Diligence - EDD)
- Risk assessments must be updated regularly
- No one-size-fits-all approach
- Blanket de-risking (terminating entire categories without individual assessment) violates RBA

Application Examples:

- Low-risk customer (publicly traded company): SDD may be appropriate
- High-risk customer (foreign PEP): EDD required (source of wealth, source of funds, senior management approval)

[!] Not allowed: One-size-fits-all approach or blanket de-risking without individual assessment.

Rec. 2 - Domestic Coordination

Countries must establish national AML/CFT policies and ensure cooperation among competent authorities.

Key Requirements:

- Designate competent authorities (FIU, supervisors, law enforcement)
- Ensure cooperation and coordination among them
- Provide adequate resources and powers
- Establish mechanisms for information sharing
- Regular coordination meetings

Deficiency Example (Exam Scenario): A financial supervisor identifies significant AML deficiencies at several banks but never communicates these findings to the FIU or law enforcement. The supervisor issues fines but does not coordinate with other authorities. This violates Recommendation 2.

[TRAP] Common Distractor: "Each authority operates independently; coordination is optional." **[CORRECT] Correct Answer:** Competent authorities must coordinate and share information. A supervisor cannot keep findings from the FIU or law enforcement.

Rec. 3 - Criminalization of ML

Countries must criminalize money laundering based on the widest range of predicate offenses.

Key Requirements:

- Apply to all serious predicate offenses (the "all-crimes approach" is preferred)
- Self-laundering **MUST** be criminalized (predicate offender can be charged with ML)
- Apply regardless of where the predicate offense occurred
- Minimum predicate offenses include: drug trafficking, fraud, corruption, tax crimes

Self-Laundering Example: A drug trafficker who processes their own proceeds through shell companies can be charged with **BOTH** drug trafficking **AND** money laundering. Self-laundering is a separate criminal offense.

[TRAP] Common Distractor: "Money laundering requires a third-party launderer separate from the predicate offender." **[CORRECT] Correct Answer:** FATF Recommendation 3 explicitly requires criminalization of self-laundering. The same person who committed the predicate offense can also be charged with money laundering.

Rec. 5 - Criminalization of TF

Countries must criminalize terrorist financing as a standalone offense.

Key Requirements:

- Criminalize TF regardless of whether funds are actually used for a terrorist act
- No minimum monetary threshold (even \$1 is sufficient)
- Collecting or providing funds for terrorist purposes is enough
- Apply to nationals and entities

Deficiency Example (Exam Scenario): A country criminalizes terrorist financing only when the funds exceed \$10,000 and only if the funds are actually used for a specific terrorist act. This violates Recommendation 5 because:

- 1 No minimum threshold is permitted - any amount qualifies
- 2 Collection for terrorist purposes is sufficient - actual use not required

[TRAP] Common Distractor: "A \$10,000 threshold is reasonable for TF offenses."

[CORRECT] Correct Answer: FATF Recommendation 5 explicitly prohibits minimum monetary thresholds for TF. Even \$1 collected for terrorist purposes is a crime.

Rec. 8 - NPO Vulnerability to TF

Countries must apply targeted risk-based supervision of NPOs vulnerable to terrorist financing abuse.

Key Requirements:

- Mechanisms to ensure NPOs are not misused by terrorist organizations
- Outreach and awareness programs for NPOs
- Monitoring of cross-border transactions involving NPOs
- Risk-based approach (not all NPOs, only vulnerable ones)

Red Flags for NPOs (Exam Scenarios):

- Large donation from a Grey List or conflict zone jurisdiction
- Rapid cash withdrawal (80 percent+ within 48 hours) far from headquarters
- Inconsistent expenditures (charitable mission vs. actual spending)
- No verifiable charitable activities
- Transfers to other NPOs in conflict zones where terrorist groups operate

[TRAP] Common Distractor: "All NPOs must be subject to the same AML controls as banks." **[CORRECT] Correct Answer: Recommendation 8 requires a TARGETED RISK-BASED approach - only NPOs vulnerable to TF abuse require enhanced measures.**

Rec. 10 - CDD Requirements

Financial institutions must conduct CDD in specified circumstances.

Four CDD Trigger Events:

- 1 When establishing a business relationship
- 2 When carrying out an occasional transaction above the threshold (typically USD/EUR 15,000)
- 3 When there is a suspicion of money laundering or terrorist financing (regardless of amount)
- 4 When there is doubt about previously obtained identification documents

Four Required CDD Elements:

- 1 Identify the customer and verify identity using reliable, independent source documents
- 2 Identify the beneficial owner and take reasonable measures to verify identity
- 3 Understand the purpose and intended nature of the business relationship
- 4 Conduct ongoing due diligence and scrutinize transactions throughout the relationship

[!] All four elements are mandatory. CDD is required even for very small transactions if suspicion exists.

Rec. 11 - Record Retention

All records must be retained for a minimum of 5 years.

Retention Requirements:

- Transaction records (national and international): 5 years following transaction completion
- Customer identification records (CDD files): 5 years after business relationship ends
- STRs and supporting documentation: 5 years after filing
- Records must be available to competent authorities upon request

What Must Be Retained:

- Copies of identification documents
- Account opening records
- Transaction history
- Correspondence with customer
- STR filings and supporting documentation
- Investigation notes and decisions

[TRAP] Common Distractor: "Records can be deleted when the customer closes the account." **[CORRECT] Correct Answer: Minimum 5 years retention from transaction date OR account closure, whichever is later.**

Rec. 16 - Travel Rule

Originator and beneficiary information must accompany wire transfers above the threshold.

Required Information for Cross-Border Wires Above USD/EUR 1,000:

- Originator's full name
- Originator's account number (or unique transaction reference)
- Originator's address, national ID number, customer ID number, OR date and place of birth (at least ONE)
- Beneficiary's full name
- Beneficiary's account number

For Transfers Below USD/EUR 1,000:

- Originator's name and account number required
- Full address/ID not required for sub-threshold transfers

Receiving Institution Obligations:

- Must obtain and hold required information
- Must have effective risk-based procedures to identify missing information
- Must take action if information not provided

[TRAP] Common Distractor: "Only the originator's name is required for wire transfers."

[CORRECT] Correct Answer: Originator name, account number, and at least one additional identifier (address, ID, or date of birth) is required for transfers above USD/EUR 1,000.

Rec. 19 - Countermeasures

Countries must apply enhanced due diligence to high-risk jurisdictions.

Obligations for High-Risk Jurisdictions (Black List):

- Apply enhanced due diligence measures
- FATF calls on members to apply countermeasures
- Countermeasures may include: prohibiting correspondent relationships, restricting transactions, enhanced reporting
- Countermeasures are mandatory for FATF members (implemented through national laws)

Obligations for Jurisdictions Under Increased Monitoring (Grey List):

- Apply enhanced due diligence
- Countermeasures not automatically required (risk-based)
- Individual risk assessments required
- No blanket termination without individual assessment

[!] Grey List: EDD required. Black List: Countermeasures required (stronger action).

Rec. 20 - Suspicious Transaction Reporting

STRs must be filed immediately upon suspicion, regardless of transaction value.

Key Principles:

- Legal standard = REASONABLE SUSPICION (not certainty, not probable cause)
- No minimum monetary threshold for money laundering suspicion
- Do NOT delay filing to gather more evidence
- Do NOT investigate to point of certainty before filing
- File first, continue investigating if needed
- Cannot consider commercial impact of filing

What Reasonable Suspicion Means:

- More than a hunch, less than probable cause
- Specific articulable facts that suggest possible money laundering
- Based on training, experience, and available information
- Does not require knowledge of underlying predicate offense

[TRAP] Common Distractor: "We need more evidence before filing a SAR." [CORRECT]
Correct Answer: SAR must be filed immediately upon reasonable suspicion. Conclusive proof is NOT required.

Rec. 21 - Prohibition on Disclosure

FIs and their employees are prohibited from disclosing that a SAR has been filed.

Prohibited Disclosures:

- Telling a customer a SAR has been filed on their account
- Disclosing that "compliance is reviewing your account" (implies SAR)
- Disclosing investigation to unauthorized third parties
- Publicly announcing a customer is under investigation

Permissible Disclosures (Exceptions):

- Internal sharing with legal department on need-to-know basis
- 314(b) sharing with other opted-in institutions (US specific)
- Responding to law enforcement subpoena
- Reporting to FIU (the filing itself)

[TRAP] Common Distractor: "No SAR was filed yet, so no tipping-off occurred."

[CORRECT] Correct Answer: Tipping-off includes disclosing the EXISTENCE of an internal investigation, even if no SAR has been filed yet.

Rec. 24 - Corporate Transparency

Countries must ensure adequate, accurate, and current beneficial ownership information is obtained and held.

Key Requirements:

- Prohibit bearer shares OR require immobilization with a regulated custodian
- Beneficial ownership information must be accessible to competent authorities
- Sanctions for non-compliance
- Mechanisms to ensure information is accurate and updated

Bearer Shares Vulnerability: Bearer shares transfer ownership through physical delivery of the stock certificate - no public registry. This creates anonymity for the true owner. FATF requires countries to either prohibit bearer shares or require immobilization with a custodian who can identify the holder.

[TRAP] Common Distractor: "Immobilization of bearer shares eliminates the need for UBO identification." **[CORRECT] Correct Answer: The bank must verify that the custodian can identify the bearer share holder at all times AND the bank still needs to identify the beneficial owner for CDD purposes.**

Rec. 25 - Trust Transparency

Trustees must hold adequate, accurate, and current beneficial ownership information on trusts.

Who Must Be Identified for a Trust:

- Settlor (the person who creates the trust)
- Trustee(s) (and UBOs if corporate trustee)
- Protector (if the protector has veto rights or power to replace the trustee)
- Beneficiaries (to the extent they are determinable)

Example Trust Structure: A trust has: Settlor (Individual A), Corporate Trustee, Protector (Individual B with veto power), Beneficiaries (C, D, E each with 20 percent interest). Under FATF standards, the ultimate beneficial owner includes: Settlor, Protector, and any beneficiary with over 25 percent interest; plus the trustee as legal owner.

[TRAP] Common Distractor: "Only the trustee needs to be identified for a trust."

[CORRECT] Correct Answer: Trustees must identify settlor, trustee, protector, and beneficiaries. A protector with veto power IS a beneficial owner.

Rec. 30 - Financial Investigations

Law enforcement must have responsibility for conducting financial investigations into ML/TF.

Key Requirements:

- Law enforcement must conduct parallel financial investigations in predicate crime cases
- Must be able to identify, trace, freeze, and seize assets
- Must have power to obtain financial records expeditiously (days, not months)
- Specialized investigators and prosecutors for financial crime

Deficiency Example (Exam Scenario): A country's law enforcement cannot obtain financial records directly from banks; all requests must go through the prosecutor's office, taking 6-12 months. This violates Recommendation 30 because assets can be moved before records are obtained.

[TRAP] Common Distractor: "A prosecutor-only approval system is acceptable as long as the law exists." **[CORRECT] Correct Answer:** Law enforcement must have the power to obtain financial records expeditiously, without unreasonable delay. 6-12 months is not expeditious.

Rec. 32 - Cross-Border Currency Movement

Countries must have declaration or disclosure systems for cross-border currency transportation.

Required Controls:

- Declaration OR disclosure system for currency and bearer negotiable instruments at borders
- Authority to stop, restrain, and question cash couriers
- Sanctions for false declarations or non-disclosure (seizure, fines, criminal charges)
- Ability to seize cash suspected of being ML/TF related

Deficiency Example (Exam Scenario): A country has no declaration system. Customs intercepts 20 cash couriers carrying over \$15 million in undeclared currency but imposes no penalties because no law requires declarations. This violates Recommendation 32.

[TRAP] Common Distractor: "Cash courier controls are optional; Recommendation 32 is advisory only." **[CORRECT] Correct Answer:** Countries **MUST** have declaration or disclosure systems and **MUST** have authority to impose sanctions for non-disclosure.

What are FSRBs?

Autonomous regional bodies that promote, implement, and assess FATF Recommendations within their geographic regions.

Major FSRBs:

- APG: Asia/Pacific Group on Money Laundering (41 members)
- MONEYVAL: Council of Europe committee (33 member states)
- GAFILAT: Financial Action Task Force of Latin America (18 members)
- MENAFATF: Middle East and North Africa FATF (21 members)
- GIABA: Inter-Governmental Action Group against Money Laundering in West Africa (17 members)
- ESAAMLG: Eastern and Southern Africa Anti-Money Laundering Group (18 members)
- EAG: Eurasian Group (9 members)

Relationship to FATF:

- FSRBs are AUTONOMOUS (not subordinate to FATF)
- They use the same FATF Methodology for mutual evaluations
- Evaluation results are reported to FATF
- Significant deficiencies may lead to FATF Grey/Black List referral

[!] FSRBs conduct mutual evaluations - they are not just discussion forums.

[SCENARIO] Country Member of FSRB but not FATF Country X is a member of a FATF-Style Regional Body (MONEYVAL) but is not a FATF member. The FSRB schedules a mutual evaluation. The country's government argues that only FATF can conduct mutual evaluations, and as a non-FATF member, it is not subject to assessment.

What the Exam Tests: FSRB authority to evaluate member jurisdictions.

How to Analyze:

- 1 FSRBs conduct mutual evaluations using the same FATF Methodology
- 2 FSRBs have authority to evaluate their members regardless of FATF membership
- 3 Evaluation results are reported to FATF
- 4 Significant deficiencies may lead to FATF Grey/Black List referral

[TRAP] Common Distractor: "Only FATF can conduct mutual evaluations; FSRBs are just discussion forums." **[CORRECT] Correct Answer: FSRBs conduct mutual evaluations of their member jurisdictions using the same methodology as FATF. The results can lead to FATF grey listing.**

Key Differences

Understanding the relationship between FATF and FSRBs is heavily tested.

FATF	FSRBs
Global inter-governmental body	Regional autonomous bodies
Sets the 40 Recommendations	Promote and implement Recommendations
39 members	Varies by region (9-41 members)
Conducts mutual evaluations of members	Conducts mutual evaluations of members
Issues Grey/Black Lists	Refer findings to FATF for listing
Based in Paris (OECD)	Various locations (Bangkok, Buenos Aires, etc.)

Exam Point: FSRB mutual evaluations can lead to FATF grey listing. A country does NOT need to be a FATF member to be evaluated by an FSRB or to be placed on the FATF Grey/Black Lists.

[TRAP] Common Distractor: "FSRBs are subordinate to FATF and staffed by FATF employees." **[CORRECT] Correct Answer:** FSRBs are autonomous regional bodies, not subordinate to FATF. They promote and assess FATF Recommendations in their regions.

UN Sanctions Framework

UN Security Council resolutions are binding on all UN member states.

Key UN Sanctions Resolutions:

- UNSCR 1267 (1999): Al-Qaida and Taliban sanctions
- UNSCR 1373 (2001): Counter-terrorism and terrorist financing (general)
- UNSCR 1540 (2004): WMD proliferation financing
- UNSCR 1718 (2006): North Korea (nuclear and missile programs)
- UNSCR 1988 (2011): Taliban sanctions (separate from Al-Qaida)
- UNSCR 2231 (2015): Iran nuclear program (JCPOA)

Bank Obligations Under UN Sanctions:

- Freeze assets immediately without prior notice
- Report freezing action to UNSC committee and FIU
- Prohibit funds from being made available to designated persons
- Screen against UN Consolidated Sanctions List

[!] UN sanctions are BINDING on all UN member states - no option to opt out.

UNSCR 1373 - Counter-Terrorism

Binding resolution requiring all UN member states to criminalize terrorist financing and freeze terrorist assets.

Key Requirements:

- Criminalize provision or collection of funds for terrorist purposes
- Freeze assets of persons who commit or support terrorist acts
- Prohibit funds from being made available to terrorists
- Prevent movement of terrorists across borders
- Cooperate in criminal investigations

Bank Obligations:

- Screen against UNSCR 1373 designated persons list
- Freeze assets immediately without prior notice
- Report freezing actions to competent authorities
- Cannot notify the designated person (tipping-off)

[TRAP] Common Distractor: "UNSCR 1373 only applies to countries, not to private financial institutions." **[CORRECT] Correct Answer: UNSCR 1373 is implemented through national laws that apply directly to financial institutions. Banks must freeze assets of designated persons.**

UNSCR 1540 - WMD Proliferation

Binding resolution requiring member states to prevent WMD proliferation financing.

Key Requirements:

- Establish effective controls over chemical, biological, radiological, and nuclear (CBRN) materials
- Prohibit non-state actors from manufacturing or acquiring WMD-related materials
- Establish controls over dual-use goods exports
- Criminalize proliferation financing

Bank Obligations Under UNSCR 1540:

- Screen transactions for dual-use goods exports to sanctioned jurisdictions
- Identify proliferation financing red flags (inconsistent end-use, routing through intermediaries)
- File STRs for suspicious proliferation-related transactions
- Enhanced due diligence for proliferation-sensitive transactions

Red Flags for Proliferation Financing:

- Dual-use goods (radiation-hardened chips, maraging steel, vacuum pumps) to sanctioned countries
- End-use claims inconsistent with goods (e.g., "atmospheric research" for missile components)
- Payment routing through multiple third-party intermediaries
- Unusual shipping routes or free trade zone transshipment

[!] Proliferation financing is a separate FATF offense category (Recommendation 7).

What is an FIU?

The national center for receiving, analyzing, and disseminating financial intelligence.

Core FIU Functions:

- Receive STRs from financial institutions and DNFBPs
- Analyze STRs to identify patterns and develop intelligence
- Disseminate financial intelligence to competent authorities (law enforcement, prosecutors)
- Exchange information with foreign FIUs (via Egmont Group)
- Provide feedback to reporting institutions on STR quality
- Conduct strategic analysis on ML/TF trends

Examples of FIUs by Country:

- United States: FinCEN (Financial Crimes Enforcement Network)
- United Kingdom: UKFIU (part of National Crime Agency)
- France: TRACFIN
- Germany: FIU Germany (Zentralstelle für Finanztransparenzuntersuchungen)
- Spain: SEPBLAC
- Australia: AUSTRAC
- Singapore: STRO (Suspicious Transaction Reporting Office)

[!] FIUs have analytical and intelligence functions, not law enforcement powers.

Egmont Group Functions

The Egmont Group is the global network of FIUs, not just a definition.

Egmont Group Core Functions:

- Secure communication platform (Egmont Secure Web) for FIU-to-FIU information exchange
- Established "Egmont Group Principles for Information Exchange Between FIUs"
- Provides training and technical assistance for member FIUs
- Membership requires meeting criteria (member of FATF or FSRB, operational FIU)

Limitations on Egmont-Exchanged Intelligence:

- Used only for AML/CFT purposes (cannot be used for tax investigations or commercial purposes)
- Receiving FIU must maintain confidentiality
- Cannot share with third parties without originating FIU's prior authorization
- NOT automatically admissible in criminal court (unlike MLAT-obtained evidence)

[TRAP] Common Distractor: "Egmont Group information exchange can replace MLATs for criminal prosecution." **[CORRECT] Correct Answer: Egmont exchanges are for INTELLIGENCE sharing (not admissible in court). MLATs are required for evidence admissible in criminal proceedings.**

Mutual Legal Assistance Treaties (MLATs)

Formal, legally binding mechanisms for governments to exchange evidence across borders.

MLAT Functions:

- Exchange of evidence, judicial documents, and witness testimony
- Cross-border asset freezing and forfeiture
- Service of legal documents
- Execution of search warrants

MLAT Process:

- 1 Requesting country submits formal request to central authority
- 2 Requesting country must provide evidence of criminal investigation
- 3 Requested country executes request according to its laws
- 4 Evidence returned to requesting country
- 5 Evidence is admissible in criminal proceedings

MLAT vs. Egmont Comparison:

- MLAT: Evidence admissible in court (formal, slow, requires treaty)
- Egmont: Intelligence sharing (informal, fast, not court-admissible without conversion)

[!] For criminal prosecution, use MLAT. For intelligence sharing, use Egmont.

[SCENARIO] Country A Needs Bank Records from Country B for Criminal Prosecution

Country A has identified \$30 million in bribery proceeds deposited into a bank account in Country B. Country A's prosecutor needs bank records to support a criminal prosecution. Country A and Country B have an active MLAT and are both members of the Egmont Group.

What the Exam Tests: Proper channel for obtaining admissible evidence vs. intelligence.

How to Analyze:

- ❶ The FIU-to-FIU channel (Egmont) provides intelligence, NOT admissible evidence
- ❷ For criminal prosecution, an MLAT request is required
- ❸ The proper approach: FIU exchanges intelligence (Egmont) PLUS law enforcement submits MLAT request for admissible evidence
- ❹ Cannot rely solely on Egmont for criminal prosecution

[TRAP] Common Distractor: "Country A's FIU can obtain records through Egmont and use them directly in criminal court." **[CORRECT] Correct Answer: MLAT is the proper channel for obtaining bank records admissible in criminal proceedings. Egmont provides intelligence only, not court-admissible evidence.**

What are AML/CFT PPPs?

Structured collaboration between government authorities (FIUs, law enforcement, regulators) and financial institutions to combat financial crime.

PPP Objectives:

- Improve intelligence sharing and detection of complex financial crime networks
- Help financial institutions understand emerging typologies
- Help law enforcement prioritize financial intelligence
- Improve SAR quality through feedback
- Identify systemic vulnerabilities

What PPPs DO NOT Replace:

- SAR filing obligations (banks still must file SARs)
- Independent testing of AML programs
- CDD and KYC obligations
- Regulatory supervision

Examples of PPPs:

- JMLIT (UK): Joint Money Laundering Intelligence Task Force
- FinCEN Exchange (US): Information sharing between FinCEN and financial institutions
- FIU-Netherlands PPP program
- Singapore's COSMIC platform

[!] PPPs enhance, not replace, existing AML obligations.

What PPPs Achieve

Understanding the value and limitations of PPPs is tested on the exam.

Strengths of PPPs:

- Real-time threat intelligence sharing (vs. delayed SAR processing)
- Identification of emerging typologies (e.g., COVID fraud, ransomware trends)
- Feedback loop improves SAR quality
- Builds trust between public and private sectors
- More efficient targeting of high-risk areas

Limitations of PPPs:

- Cannot replace SAR filing obligations
- Information sharing subject to confidentiality and privacy laws
- Not all institutions can participate (resource constraints)
- May not be available in all jurisdictions
- Does not eliminate need for individual institution risk assessments

Data Sharing Considerations:

- Must comply with data privacy laws (GDPR, CCPA, etc.)
- Need information sharing agreements (MOUs)
- Data minimization principles apply
- Confidentiality obligations must be maintained

[TRAP] Common Distractor: "PPPs replace SAR filing obligations for participating banks."
[CORRECT] Correct Answer: PPPs enhance intelligence sharing but do NOT replace SAR filing obligations. Banks must still file SARs.

US Regulatory Framework

The United States has a comprehensive AML/CFT regulatory structure.

Primary US AML Laws:

- Bank Secrecy Act (BSA) of 1970 - foundation of US AML
- USA PATRIOT Act of 2001 - expanded AML requirements
- Anti-Money Laundering Act (AMLA) of 2020 - most recent major update
- Corporate Transparency Act (CTA) - beneficial ownership reporting

Key US Regulators:

- FinCEN: Issues regulations, administers BSA, operates as FIU
- OFAC: Administers sanctions programs (US Treasury)
- Federal banking regulators: OCC, Federal Reserve, FDIC, NCUA
- SEC: Securities industry AML oversight
- CFTC: Commodities and derivatives oversight
- FinCEN 314(a) and 314(b): Information sharing programs

Key USA PATRIOT Act Sections Tested:

- Section 311: Designation of primary money laundering concern
- Section 313: Prohibition on correspondent accounts for shell banks
- Section 314(a): Law enforcement information requests
- Section 314(b): Voluntary information sharing among FIs
- Section 319(b): Record production and account seizure

[!] USA PATRIOT Act sections 311, 313, 314(a), 314(b), and 319(b) are heavily tested.

Section 311 - Primary Money Laundering Concern

Treasury Secretary can designate foreign financial institutions as primary ML concern.

Measures That Can Be Imposed:

- Prohibit U.S. FIs from opening or maintaining correspondent or payable-through accounts
- Impose special recordkeeping and reporting requirements on transactions
- Impose conditions on correspondent accounts (e.g., requiring pre-approval)

What Section 311 Does NOT Authorize:

- Seizing personal assets of employees
- Criminal indictment of all officers
- Automatic freezing of all customer accounts

[TRAP] Common Distractor: "Section 311 allows seizure of all assets of the designated institution." **[CORRECT] Correct Answer: Section 311 allows prohibiting correspondent accounts, imposing special recordkeeping/reporting, and imposing conditions on accounts - not asset seizure.**

Section 313 - Definition and Prohibition

A shell bank is a bank with no physical presence in any country and not affiliated with a regulated financial institution.

Absolute Prohibition: U.S. banks are absolutely prohibited from maintaining correspondent accounts for foreign shell banks. NO exceptions.

Not a Shell Bank (Acceptable):

- Bank with physical office and staff in its home country
- Bank affiliated with a regulated depository institution

Exam Scenario: A U.S. bank discovers its foreign respondent bank has no physical office, no staff, and operates through a shared services agreement. The bank is not affiliated with any regulated institution. This is a shell bank. The U.S. bank must terminate the correspondent account immediately.

[TRAP] Common Distractor: "The bank can continue the relationship if it files SARs every 90 days." **[CORRECT] Correct Answer:** Section 313 absolutely prohibits correspondent accounts for foreign shell banks. No exceptions. The account must be terminated.

Section 314(a) - Mandatory Law Enforcement Requests

FinCEN sends requests identifying subjects of investigation; banks must search records.

314(a) Bank Obligations:

- Search accounts and transactions according to FinCEN instructions
- Search for specified time period (e.g., last 6 months)
- Maintain confidentiality - cannot disclose request to customer
- Report matches to law enforcement via FinCEN
- NOT required to freeze accounts automatically

Section 314(b) - Voluntary Information Sharing

Financial institutions that have filed opt-in notification may voluntarily share information.

314(b) Key Features:

- Share information about persons suspected of ML/TF activity
- Receive safe harbor from liability for sharing
- Build complete picture across institutions
- May share SAR information (exception to tipping-off)

[!] 314(b) sharing is explicitly permitted by law and is NOT tipping-off.

Section 319(a) - Forfeiture of Funds

Allows U.S. government to seize funds from correspondent accounts traceable to money laundering.

319(a) Key Points:

- Applies to funds in correspondent accounts
- Funds must be traceable to money laundering
- Subject to judicial process

Section 319(b) - Record Production

Allows U.S. government to demand that foreign banks produce records of U.S. correspondent accounts.

319(b) Key Points:

- Foreign bank must maintain records of its U.S. correspondent account
- If foreign bank refuses subpoena, U.S. bank may be required to terminate the account
- Funds in the account may be seized

Distinction:

- 319(a): Forfeiture of funds (asset recovery)
- 319(b): Record production (information gathering)

[TRAP] Common Distractor: "Section 319(a) and 319(b) apply only to FATF Black List jurisdictions." [CORRECT] Correct Answer: Sections 319(a) and 319(b) apply to all foreign banks with U.S. correspondent accounts, regardless of FATF status.

EU Fourth AML Directive (4AMLD) - 2015

Key provisions introduced.

4AMLD Key Provisions:

- Beneficial ownership registers for corporate entities
- Risk-based approach to AML/CFT supervision
- Enhanced due diligence for PEPs (both domestic and foreign)
- Extended AML requirements to casinos

EU Fifth AML Directive (5AMLD) - 2018

Expanded and strengthened requirements.

5AMLD Key Provisions:

- Extended CDD to VASPs (virtual asset service providers)
- Publicly accessible central registries of beneficial owners
- Lowered prepaid card CDD threshold from EUR 250 to EUR 150
- Bank account registers for FIUs

EU Sixth AML Directive (6AMLD) - 2020

Harmonized criminal law provisions.

6AMLD Key Provisions:

- Harmonized 22 predicate offenses across all EU member states
- Extended criminal liability to legal persons (corporations)
- Minimum maximum sentences: 4 years for ML, up to 15 years for aggravating circumstances

[!] 6AMLD added corporate criminal liability - corporations can be prosecuted for ML.

Intersection of AML with Other Regulatory Areas

AML compliance does not operate in isolation; other laws create overlapping obligations.

Key Overlapping Regulatory Areas:

- Data Privacy (GDPR, CCPA): Right to erasure vs. AML retention
- Consumer Protection: Unfair treatment of customers, account closures
- ESG (Environmental, Social, Governance): Corruption risk, human trafficking detection
- Conduct and Ethics: Whistleblower protections, ethical culture
- Financial Inclusion: De-risking impacts on underserved populations

Resolving Conflicts - Exam Approach:

- AML obligations generally override privacy rights for required data retention
- Data protection laws include exceptions for law enforcement and AML
- Financial inclusion is a consideration, not an override of AML obligations

[!] AML retention requirements override GDPR right to erasure for required records.

[SCENARIO] Bank Receives GDPR Right to Erasure Request for SAR Customer A European bank receives a GDPR "right to erasure" request from a customer demanding deletion of all personal data, including KYC documents and transaction records. The customer was the subject of a SAR filed 18 months ago. The DPO argues GDPR requires deletion. The AML Officer argues AML recordkeeping requires retention (minimum 5 years).

What the Exam Tests: GDPR's exception for legal obligations (AML retention).

How to Analyze:

- 1 GDPR Article 17(3) exempts data retention required by law
- 2 AML recordkeeping (minimum 5 years) is a legal obligation
- 3 The bank can lawfully refuse to delete AML-required records
- 4 SAR confidentiality also prohibits acknowledging the SAR to the customer

[TRAP] Common Distractor: "GDPR's right to erasure is absolute and overrides all other laws." **[CORRECT] Correct Answer: AML retention requirements are a legal exception to GDPR erasure rights. The bank may refuse deletion for records it is required to retain.**

- 1 FATF sets global AML standards (40 Recommendations)
- 2 Mutual Evaluation assesses Technical Compliance AND Effectiveness
- 3 High Technical Compliance does not guarantee high Effectiveness
- 4 Grey List: EDD required; Black List: Countermeasures required
- 5 FSRBs are autonomous regional bodies, not subordinate to FATF
- 6 FSRBs conduct mutual evaluations using FATF methodology
- 7 UN sanctions are binding on all UN member states
- 8 UNSCR 1373: Terrorist financing
- 9 UNSCR 1540: WMD proliferation financing
- 10 FIUs receive, analyze, and disseminate STR intelligence
- 11 Egmont Group: FIU-to-FIU intelligence sharing (not court-admissible)
- 12 MLAT: Court-admissible evidence (formal, slow)
- 13 PPPs enhance intelligence sharing, do NOT replace SAR filing
- 14 USA PATRIOT Sections 311, 313, 314(a), 314(b), 319(b) heavily tested
- 15 Section 313: Shell banks prohibited (no physical presence)
- 16 Section 314(a): Mandatory law enforcement searches
- 17 Section 314(b): Voluntary information sharing (safe harbor)
- 18 6AMLD: Corporate criminal liability for ML
- 19 5AMLD: VASPs regulated, prepaid card threshold lowered
- 20 4AMLD: BO registers, risk-based approach
- 21 GDPR Article 17(3): AML retention exception
- 22 STR filing standard: Reasonable suspicion (not proof)
- 23 Tipping-off includes disclosing investigation exists
- 24 NPO red flags: rapid cash withdrawal, conflict zone operations
- 25 Proliferation financing red flags: dual-use goods, inconsistent end-use
- 26 Bearer shares require immobilization AND UBO identification
- 27 Trust UBOs: settlor, trustee, protector, determinable beneficiaries
- 28 Law enforcement must access records expeditiously (not 6-12 months)
- 29 Cash courier declaration systems required
- 30 Self-laundering is criminalized under FATF Rec. 3

- Perfect laws with zero convictions → Low Effectiveness
- Blanket termination of all African banks → De-risking (violates RBA)
- FIU receives STRs but never disseminates → Low IO.6 rating
- No ML convictions in 5 years → Low IO.7 rating
- No assets confiscated despite laws → Low IO.8 rating
- \$10,000 threshold for TF offense → Violates Rec. 5
- No BO registry or inaccessible registry → Violates Rec. 24
- 6-12 month delay for bank records → Violates Rec. 30
- No cash declaration system → Violates Rec. 32
- U.S. bank has account for shell bank → Violates Section 313
- Telling customer "compliance is reviewing" → Tipping-off
- Accepting missing Travel Rule data → VASP violation
- No EDD for Grey List jurisdiction → Rec. 19 violation
- Self-laundering not criminalized → Violates Rec. 3
- No independent audit of NPOs with conflict zone ops → Rec. 8 deficiency
- FIU intelligence not used by law enforcement → Low IO.6
- Supervisors never penalize banks → Rec. 26 deficiency

- Domain B is 20 percent of exam
- FATF is the single most heavily tested topic
- Know the difference between Grey List (EDD) and Black List (countermeasures)
- Technical Compliance vs. Effectiveness is a key distinction
- FSRBs conduct mutual evaluations - their findings can lead to FATF listing
- USA PATRIOT Act sections 311, 313, 314(a), 314(b), 319(b) are essential
- UN sanctions are binding - freeze assets immediately without notice
- Egmont = intelligence (not admissible); MLAT = evidence (admissible)
- PPPs enhance, not replace, SAR filing obligations
- 6AMLD added corporate criminal liability
- 5AMLD added VASPs to AML requirements
- GDPR has AML retention exception (Article 17(3))
- STR filing standard = reasonable suspicion (not proof)
- Tipping-off includes disclosing investigation exists
- Self-laundering IS criminalized under FATF standards
- Bearer shares require both immobilization AND UBO identification
- Trust UBOs include protector with veto power

[Right] Good luck on your CAMS exam!